SESSION 6: UPDATES ON FINANCIAL REPORTING STANDARDS

Session Objectives

At the end of this session, you should be able to:

a) describe the key changes introduced in IFRS 18,
b) outline the objective of IFRS 19
c) explain what IFRS Accounting Taxonomy means, its objectives and key features

Updates on Financial Reporting Standards

Introduction

Financial reporting standards are continuously updated to improve transparency, comparability, and decision-usefulness of financial statements. Major updates are issued mainly by the International Accounting Standards Board (IASB) and the International Sustainability Standards Board (ISSB) under the IFRS Foundation. Recent developments focus on:

- Improved financial statement presentation
- Sustainability and climate reporting
- Enhanced disclosure requirements
- Integration of financial and ESG reporting

Introduction of IFRS 18 – Presentation and Disclosure in Financial Statements

One of the most significant recent changes is the introduction of IFRS 18: Presentation and Disclosure in Financial Statements. IFRS 18 aims to improve how financial information is presented and explained in financial statements.

Key Changes

a) *New structure of the income statement*: Profit or loss classified into:
   - Operating
   - Investing
   - Financing
   - Income taxes
   - Discontinued operations

b) *New mandatory sub-totals*: The following subtotals must be presented:
   - Operating profit or loss
   - Profit or loss before financing and income taxes
   - Profit or loss (Profit for the year)

c) *Improved comparability*: Standardized presentation improves comparability between companies.

d) *Greater disclosure requirements*: Entities must explain management-defined performance measures.

e) *Replacement of IAS 1*: IFRS 18 will eventually replace IAS 1 Presentation of Financial Statements.

f) *Updates of other standards*: Some existing standards have been updated to align with the new presentation standard IFRS 18. These are IAS 7 and IAS 33.
g) *Renaming of IAS 8- Basis of Preparation of Financial Statements* when an entity applies IFRS 18 *Presentation and Disclosure in Financial Statements* .

Importance

- Provides more transparent performance reporting
- Reduces inconsistent presentation of profit measures.

Introduction of IFRS 19- Subsidiaries without Public Accountability: Disclosures

IFRS 19 is a new accounting standard issued by the International Accounting Standards Board (IASB). It allows eligible subsidiaries to apply IFRS recognition and measurement requirements but with reduced disclosure requirements in their financial statements.

The standard was issued in May 2024 and becomes effective for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted.

Objective of IFRS 19

- The objective of IFRS 19 is to reduce the disclosure burden and reporting costs for subsidiaries that do not have public accountability, while ensuring that users of financial statements still receive relevant information.
- Many subsidiaries currently prepare financial statements using full IFRS mainly because their parent company prepares consolidated financial statements under IFRS. This leads to duplication of disclosures that may not be necessary at the subsidiary level.
- IFRS 19 addresses this issue by allowing simplified disclosure requirements.

IFRS Accounting Taxonomy 2025

Introduction

The IFRS Accounting Taxonomy 2025 is a digital framework developed by the IFRS Foundation to enable companies to electronically tag financial information prepared under IFRS Accounting Standards.
The taxonomy allows financial statements to be reported using XBRL (eXtensible Business Reporting Language) so that investors, regulators, and analysts can easily search, analyse, and compare financial data digitally.
The 2025 version reflects IFRS standards issued by the International Accounting Standards Board as at 1 January 2025.

Meaning of the IFRS Accounting Taxonomy

The IFRS Accounting Taxonomy is a classification system for financial reporting data.
It converts financial statement information into machine-readable tags, allowing computers to process and analyse financial reports automatically.

Example
Instead of simply writing:
Revenue = GH¢5,000,000
The taxonomy attaches a *digital tag* such as:
Revenue → IFRS tag for revenue recognition.
This allows:

- automated financial analysis
- digital comparison across companies
- efficient regulatory filings.

Objectives of the IFRS Accounting Taxonomy
The main objectives are to:

a) *Improve digital financial reporting***:** The taxonomy enables financial statements to be digitally structured and searchable.
b) *Enhance comparability***:** Investors can compare financial data across companies and industries.
c) *Increase transparency***:** Digital tagging improves the accuracy and reliability of financial information.
d) *Facilitate regulatory filing***:** Many regulators require companies to submit digitally tagged financial statements.

Key Features of IFRS Accounting Taxonomy 2025

a) **Reflects latest IFRS standards**: The taxonomy incorporates changes arising from new or amended standards, including:
   - IFRS 18 Presentation and Disclosure in Financial Statements
   - IFRS 19 Subsidiaries without Public Accountability: Disclosures
   - Amendments to
     - IFRS 9 Financial Instruments
     - IFRS 7 Financial Instruments: Disclosures
   - Annual Improvements to IFRS Standards (Volume 11).

b) **Supports the new IFRS 18 structure:** The taxonomy includes digital tags reflecting the new presentation and disclosure structure introduced by IFRS 18. This helps companies tag items such as:
   - operating profit
   - investing activities
   - financing activities
   - management-defined performance measures.

c) **Validation of management-defined performance measures:** The taxonomy contains a formula linkbase that checks whether the reconciliation between:
   - IFRS totals
   - management-defined performance measures

is mathematically correct. This improves accuracy in digital reporting.

Entry Points in the Taxonomy

The IFRS Accounting Taxonomy 2025 includes several entry points, allowing entities to use the appropriate tagging framework.

a) **Full IFRS Accounting Standards Entry Point***:* Used for entities applying IFRS standards with IAS 1 presentation requirements.
b) **Early Application of IFRS 18 Entry Point:** Used by entities that apply IFRS 18 early.
c) **Management Commentary Entry Point:** Used for tagging disclosures under Management Commentary reporting.

Implementation and Usage

The taxonomy is widely used in **digital financial reporting systems**, such as:

- regulatory filings
- stock exchange reporting
- financial databases
- automated investor analysis tools.

In some jurisdictions (e.g., the EU), the taxonomy is integrated into the European Single Electronic Format (ESEF) for listed companies' financial reports.

Applicability for 2026 Reporting

The IFRS Accounting Taxonomy 2025 remains the current version for the 2026 reporting period, as no new update has replaced it yet. The next update is expected in 2027.

Benefits of the IFRS Accounting Taxonomy

Key advantages include:

a) Standardized digital reporting
b) Faster financial analysis
c) Improved comparability across companies
d) Reduced reporting errors
e) Better transparency for investors and regulators

Limitations of the IFRS Accounting Taxonomy

Despite its benefits, some challenges exist:

a) High implementation cost
b) Requires technical expertise
c) Complexity in tagging financial statements
d) Need for specialized software systems.